



Current Views

No tactical / s-t trades.

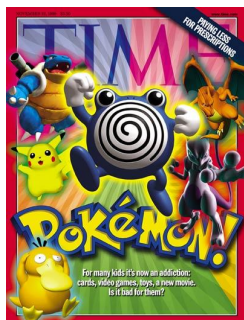
Medium-term

03FEB25 USDCNH

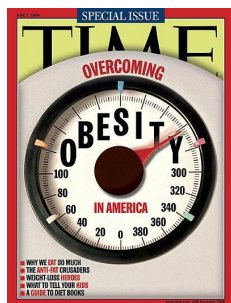
Put Fly 6.98/6.88/6.78

1X2X1 for 15bps (7.0565 s/r)

bdonnelly@spectramarkets.com



1999



2004

**There is nothing
new under the sun**

Rabbit Hole #14

Jinx: Time Person of the Year

Welcome to Rabbit Hole #14. The Rabbit Hole series offers deep dives into random macro topics that fascinate me. Today: Time Magazine. Some publications are reverse indicators, and some are not. Time Person of the Year has a small sample, but a strong contrarian history.

8-minute read –*feel free to forward this piece*

Time

Time Magazine, like the Economist, is apt to place well-known market themes on its cover. The Economist does this more often than Time, and thus we can study their dramatic contrarian output using a huge sample and large out-of-sample performance. Time's Person of the Year Issue is not as rich of a trove, but we can at least take a look. If you are not familiar with the Magazine Cover Indicator, please see this article; note that the concept has worked out-of-sample now for nine years.

<https://www.spectramarkets.com/amfx/the-magazine-cover-indicator/>

The effect does not work with Barron's because that publication is market-focused and thus tends to be a coincident, not contrarian indicator ([see full article and backtest of Barron's here](#)). Barron's writes about what's going on right now and a theme doesn't have to be super obvious to appear on its cover. In contrast, a theme MUST be super obvious before it turns up on the cover of The Economist or Time.

In case you missed it, the 2025 Person of the Year is/are: The architects of AI. Left to right:

- Mark Zuckerberg (CEO of Meta)
- Lisa Su (CEO of AMD)
- Elon Musk (Founder of xAI)
- Jensen Huang (CEO of Nvidia)
- Sam Altman (CEO of OpenAI)
- Demis Hassabis (CEO of DeepMind)
- Dario Amodei (CEO of Anthropic)
- Fei-Fei Li (Stanford AI Institute)

The somewhat logical reaction from the crowd is to sell all these companies. Let's take a walk-down-Memory-Lane drive down history's highway and see what happened before. The sample size is not huge, but it's informative enough.



I searched all the Time Magazine Person of the Year covers for any corporate head, CEO, or industry as the winner. There are nine that fit the bill. In the interest of time, let's cut right to it. Here are the covers and the stock performance into and after the cover came out.

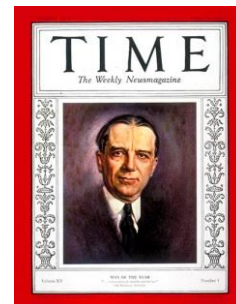
When TIME Person of the Year features a Corporate Leader or Specific Industry

Year	Person of the Year	Company	Stock Price Change during the year of the TIME cover	In the year after	2 years later
1928	Walter Chrysler	Chrysler	127.6%	-49.2%	-58.3%
1929	Owen D. Young	RCA	-32.3%	-59.1%	-81.8%
1955	Harlow Curtice	GM	41.6%	-3.8%	-21.1%
1982	The Computer		61.5%	-4.1%	-20.1%
	IBM	IBM			
	Hewlett-Packard	HP			
	Apple	AAPL			
	Texas Instruments	TXN			
	Tandy / Radio Shack	TAN			
	Commodore	CBU			
1991	Ted Turner	TBS/A	70.9%	-7.6%	17.8%
1997	Andrew Grove	INTC	7.0%	68.8%	134.4%
1999	Jeff Bezos	AMZN	35.2%	-85.8%	-75.2%
2021	Elon Musk	TSLA	40.4%	-65.0%	-29.5%
2025	The AI architects	NVDA TSLA META AMD GOOG	?		

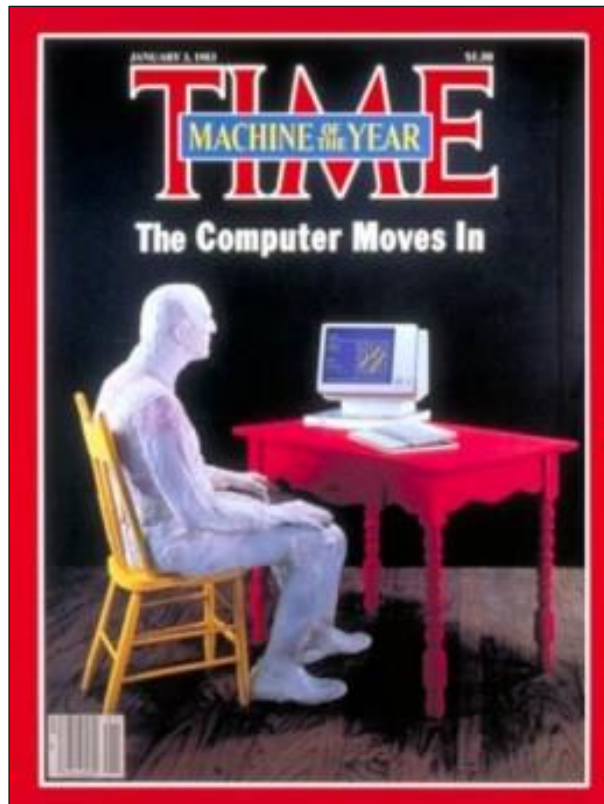
Average	44.0%	-25.7%	-16.7%
Median	40.4%	-7.6%	-21.1%
% up	88%	13%	75%

The results mostly speak for themselves but let me make a few comments on particular years.

1929: The Person of the Year was Owen Young, the Head of RCA. This one is pretty amazing especially if you've read *1929* by Andrew Ross Sorkin. RCA was at the center of the tech bubble that led to the Crash of 1929. It had already dumped by the end of 1929 but continued its collapse from there. Its founder and Chairman was Person of the Year. Awesome. Automobiles were another transformative technology in the 1920s bubble. That's why 1928's choice of Chrysler was also remarkably ill-timed. **Interesting that Time chose 1929 imagery this year with the Empire State Building image.**



1982: The Person of the Year was “The Computer”. Results were mixed. Home-computer stocks (Apple, Commodore) tanked, while business-focused names (IBM) held up. I used an equal-weighted average of the six biggest players to track performance.



1997: The Person of the Year was Andrew Grove, CEO of Intel. This is the only situation where the stock was higher one year later. Intel roared right into the dotcom bubble peak in 2000.

1999 and 2021: Both these covers were the exact top of huge spec bubbles. Both were put to rest by Fed hikes.

If Fed pricing ever flips to hikes priced in 2026, you know what to do.



The MANTA basket is the one to watch in 2026:

- Meta
- AMD
- Nvidia
- Tesla
- Alphabet

Will these Architects of AI see their stock prices jinxed in 2026, just like RCA, Chrysler, Radio Shack, Commodore, Amazon, Tesla? I will track it and revisit the story mid- and late 2026.

While researching today's piece, I stumbled upon a 1987 GS Research note. Their formatting has held up well for 40 years or so! Their reports look sleeker today, but similar.

See it here: <https://archive.computerhistory.org/resources/access/text/2023/06/102791369-05-01-acc.pdf>

Goldman Sachs	Investment Research										
Market Share Gains and Margins at a Peak?	(non-DEC) PCs. It is not an issue of product set -- DEC has the capability; it is an issue of mind set. DEC still wants to sell networked minis and PCs to large customers, but appears uninterested in networking existing PCs. This leaves DEC vulnerable to the networked micros offered by others, which collectively are beginning to have an impact on minicomputer-based solutions. Before reviewing our forecast, we review the primary elements that are apt to affect DEC's ability to gain additional market share and continue its high level of relative profitability. We summarize these factors in Table 6 and discuss them below. Table 6 Factors Influencing DEC's Market Share and Margins Gains <table><tr><th>Negative</th><th>Positive</th></tr><tr><td>IBM's 9370/HP's Spectrum</td><td>Lower dollar</td></tr><tr><td>More powerful micros</td><td>U.S. economic improvement</td></tr><tr><td>UNIX is for real</td><td>Revenue/fixed cost growth</td></tr><tr><td>Competition for VARs</td><td>More new products</td></tr></table> Momentum of the type DEC has had relative to most competitors for the past two years is likely to change very gradually. Chances are quite high that DEC's momentum will actually slow well before it is evident in its reported numbers or reported in the press. This is just what happened with IBM's momentum -- it had slowed well before that fact	Negative	Positive	IBM's 9370/HP's Spectrum	Lower dollar	More powerful micros	U.S. economic improvement	UNIX is for real	Revenue/fixed cost growth	Competition for VARs	More new products
Negative	Positive										
IBM's 9370/HP's Spectrum	Lower dollar										
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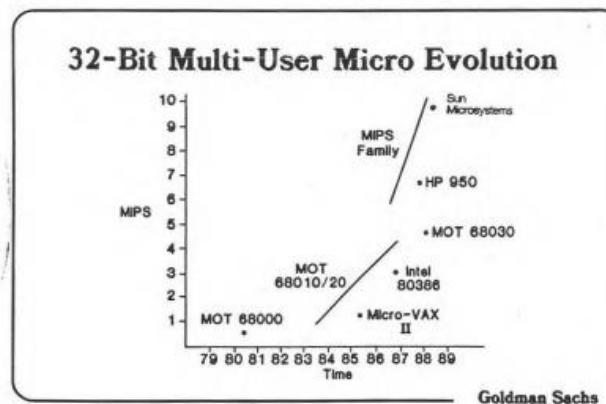
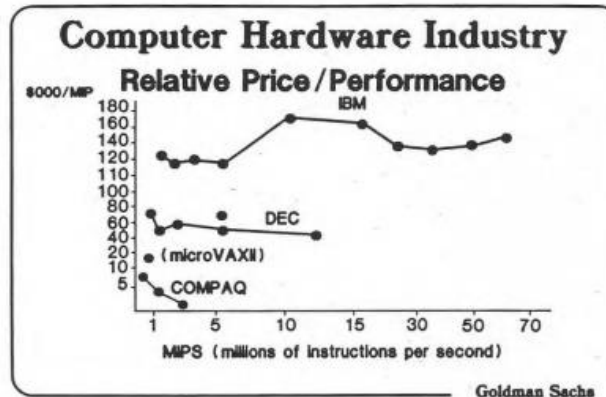
Chart design and layout has improved a lot since 1987, however!



Investment
Research

Figures 7 and 8

Relative Price/Performance and
32-Bit Multi-User Micro Evolution



Final Thoughts

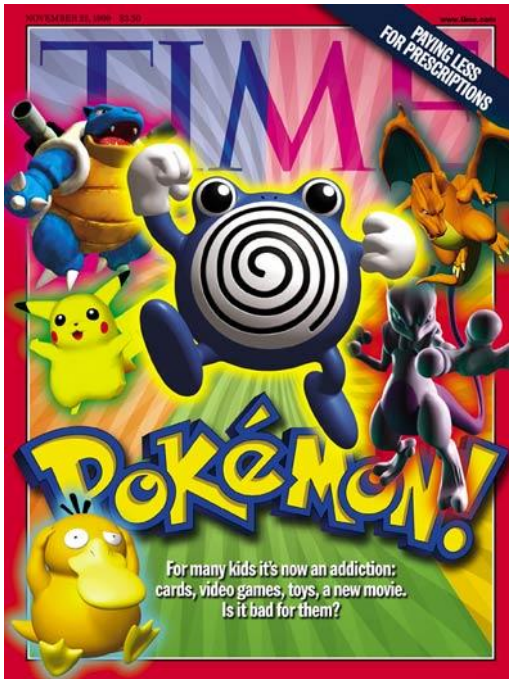
1. Next week's calendar is absolutely JAMMED. See next page.
2. An ounce of silver is worth more than a barrel of oil. First time ever. Wild.
3. Have yourself a Merry little weekend.

good luck ↑↓ be nimble

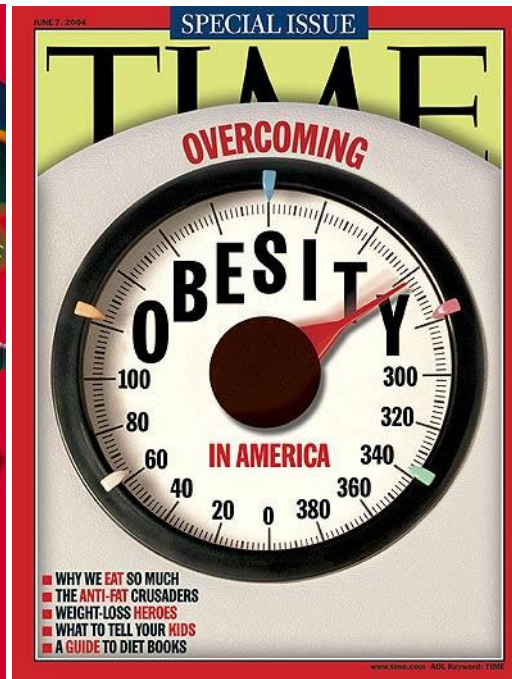
Next week's trading calendar

	MONDAY 15	TUESDAY 16	WEDNESDAY 17	THURSDAY 18	FRIDAY 19
Before NY open		UK Jobs 2:00	UK CPI 2:00	Riksbank Interest Rate Decision 3:30	UK Retail Sales 2:00
		Germany PMIs 3:30		Norges Bank Interest Rate Decision 4:00	
		UK PMIs 4:30			
		Germany ZEW 5:00	Germany IFO 4:00		
NY AM	Canada CPI 8:30	US Nonfarm Payrolls 8:30		Bank of England Interest Rate Decision 7:00	Canada Retail Sales 8:30
	US Empire State 8:30			ECB Interest Rate Decision 8:15	
				US CPI 8:30	
				US Initial Claims 8:30	
				ECB Press Conference 8:45	
NY PM	Australia Flash PMIs 17:00		Fed Bostic 12:30	US 5-Year TIPS Auction 13:01	
			US 20-Year Bond Auction 13:01	Banxico 14:00	
			NZ GDP 16:45	NKE FDX	
Asia				Japan CPI 18:30	
				ANZ Business Confidence 19:00	
				Bank of Japan Interest Rate Decision 22:00 approx.	

All times NYC



1999



2004

There is nothing new under the sun

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